accelerating the adoption of Integrated Water Resources Management ("IWRM") and the 13th Malaysia Plan focusing on developing indigenous technology that levels with international standards through research, development, commercialisation and innovation. According to the United Nations Environment Programme, IWRM is a process that promotes the coordinated development and management of water, land and related resources to maximise economic and social welfare in an equitable manner, without compromising the sustainability of vital ecosystems. The initiatives under the WST2040 include 87 strategies, 601 targets, and 601 key performance indicators that extend throughout the 4 phases up to 2040.

Amongst the strategies to be employed in the WST2040 agenda include the adoption of smart technology, encouragement of data-driven decision-making approach in water management as well as the development of homegrown technology that meets global standards. The 13th Malaysia Plan highlights technologies for water treatment and recycling systems, and smart management and monitoring of water resources and services as areas of particular focus. These include intelligent water management solutions such as IoT devices, data analytics, AI, SCADA and GIS that provide a centralised and integrated platform for data management to enhance water monitoring, storage, distribution and analysis. These solutions will enable data-driven decision-making, optimised resource management and proactive issue identification in the water sector.

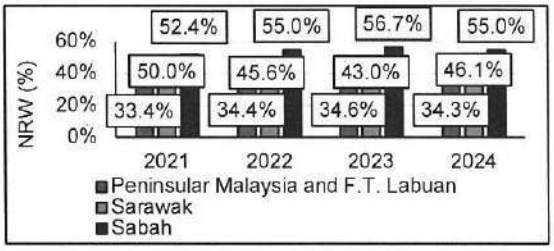
The Government of Malaysia aims to generate a cumulative value-add of RM172.6 billion for the water sector from 2021 to 2040 under the WST2040.

► **Increasing urgency to address the growing challenges of NRW as well as other water-related challenges amplifies the demand for water management solutions**

In Malaysia, NRW has emerged as a pressing concern as the nationwide NRW has exhibited an increasing trend in recent years. From 2021 to 2024, NRW in Malaysia increased from 33.4% to 34.3%. Higher NRW translates to more water losses, which also translates to wastage of energy and resources involved in the treatment of water as more energy and resources are required to treat more water to compensate for the water losses. According to SPAN, it is forecasted that Malaysia could lose RM4.05 billion in NRW in the next 6 years, representing a loss of 9.04 billion litres of water per day, if appropriate measures are not taken to address NRW.

In Sarawak, NRW decreased from more than 50.0%[2] in 2021 to 46.1% in 2024. Notwithstanding the decline, NRW in Sarawak remains higher than the national NRW average of 34.3% in 2024. High NRW is a clear indication of inefficient water distribution systems, and points to issues such as ageing and inadequate maintenance of water infrastructure as well as ineffective monitoring of the water distribution systems. In the long term, unaddressed NRW challenges may worsen water losses, giving rise to water shortages and threatening water security, which can negatively affect various vital economic and social activities. Water management solution providers are key enablers in addressing NRW challenges, and are expected to maintain proactive and long-term roles in keeping NRW issues under control. As such, the water management industry in Malaysia is expected to expand, driven by the increasing need to overcome NRW challenges.

NRW, Peninsular Malaysia, F.T. Labuan, Sarawak and Sabah, 2021 – 2024



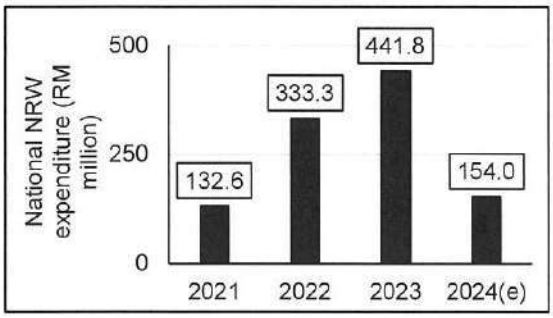
Notes:

- *NRW is calculated based on the difference between the volume of water distributed in the water distribution system and billed authorised consumption divided by the system input volume.*
- *NRW for Sarawak in 2021 and 2023 and Sabah in 2023 are approximate figures based on latest publicly available sources. Actual figures are not publicly available.*

Sources: SPAN, Ministry of Utility and Telecommunication Sarawak, other various sources

[2] *Source: Serian to help reduce Sarawak's high non-revenue water, The Borneo Post, 30 March 2021.*

National NRW expenditure, Malaysia, 2021 – 2024



Note: (e) – estimate.

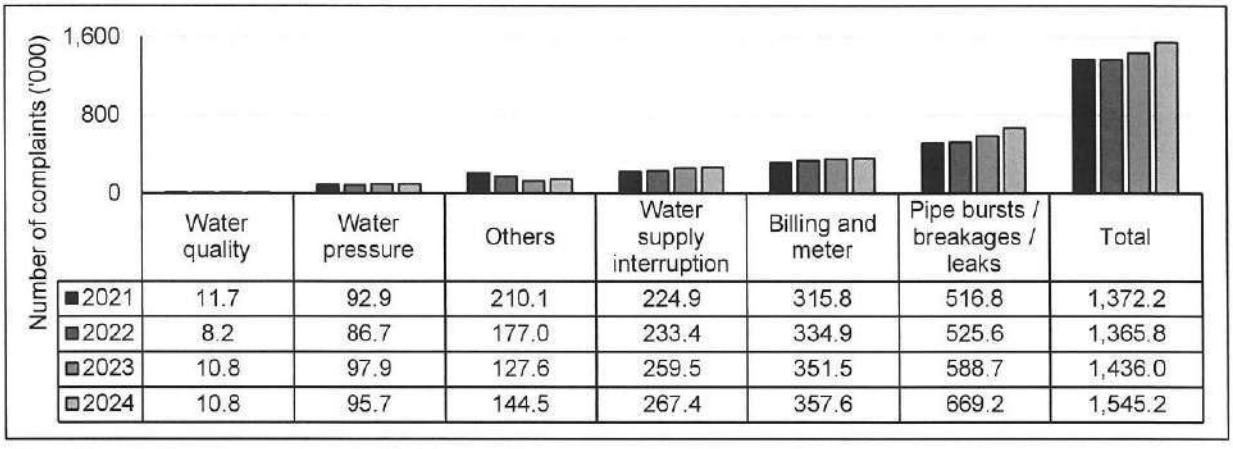
Source: Ministry of Finance Malaysia

In Malaysia, the primary challenge with NRW lies in ageing pipes that are leaking, damaged and deteriorating, whereby water is treated but lost due to leaks. Addressing this issue requires substantial funding to replace ageing pipes. From 2021 to 2023, the national NRW expenditure increased from RM132.6 million to RM441.8 million at a staggering CAGR of 82.5%, reflecting Malaysia's efforts in remediating NRW challenges. In 2024, the estimated NRW expenditure decreased YOY by 65.1% to RM154.0 million, likely due to the large investments made in previous years. It is expected to increase again in 2025 by 69.0% YOY to RM260.2 million with the rollout of new initiatives and/or new milestones for existing initiatives.

The Government of Malaysia aims to lower the nationwide NRW average to 28.8% by 2030, while Sarawak targets to reduce its NRW to 25.0%. This represents growth potential for water management industry players, offering them opportunities to play key roles in addressing NRW challenges and contributing to improvements in the water sector.

Despite abundant rainfall, Malaysia's water sources are at risk due to unpredictable weather patterns resulted from climate change as well as water pollution. Along with ageing water infrastructure and growing demand for water, this has led to a growing trend of water supply shortages and disruptions. As such, proper water management systems are becoming more critical in ensuring overall operational efficiency of water distribution systems, which supports the sustainability and reliability of water supply to communities and industries. There has been increasing challenges in the water sector to accommodate the rising demand for water, as evident by the increase in complaints over the years with regards to water issues such as pipe bursts, breakages and leakages, water quality, water pressure, water supply interruptions, as well as billing and meter.

Number of complaints received, Peninsular Malaysia and F.T. Labuan, 2021 – 2024



	Water quality	Water pressure	Others	Water supply interruption	Billing and meter	Pipe bursts / breakages / leaks	Total
2021	11.7	92.9	210.1	224.9	315.8	516.8	1,372.2
2022	8.2	86.7	177.0	233.4	334.9	525.6	1,365.8
2023	10.8	97.9	127.6	259.5	351.5	588.7	1,436.0
2024	10.8	95.7	144.5	267.4	357.6	669.2	1,545.2

Note: The number of complaints for Sabah and Sarawak is not publicly available.

Source: SPAN

From 2021 to 2024, the total number of complaints received by SPAN grew at a CAGR of 2.3% from 1.4 million to 1.5 million. The major complaint received was pipe bursts / breakages / leaks, followed by complaints pertaining to billing and meter, water supply interruption, other complaints, water pressure and water quality. Rising number of complaints by consumers highlights the critical need for improved water management systems, which drives the demand for water management solutions.

In line with the WST2040, the adoption of water technologies will be key in addressing, and to remedy, the growing challenges of NRW, as data-driven decision-making is expected to lead to more efficient use of water assets and sustainability of water supply. The use of IoT devices such smart sensors and smart water

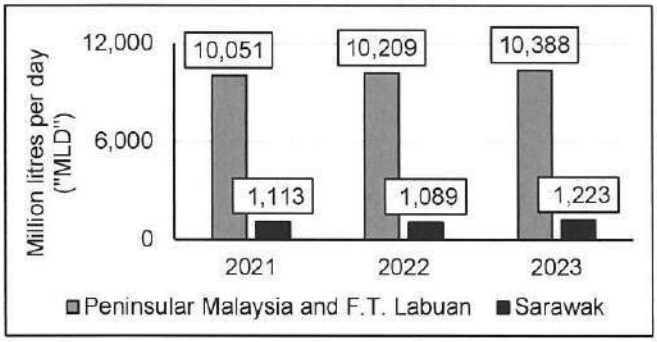
meters, when integrated with intelligent water management solutions such as data analytics, AI, SCADA and GIS, automates data collection and allows for constant monitoring, enabling proactive measures to manage water supply, detect leakages, and reduce losses.

► **Water is essential to support human life and various social and economic activities**

Water is a vital resource for human life to support essential activities for maintaining basic human health and comfort such as drinking and cooking, personal hygiene, household cleaning and laundry. Water is also crucial in supporting proper functioning and business operations of various economic activities and industries which lead to economic growth and expansion.

Effective management of water distribution systems enables reliable and sustainable water supply to ensure vital social and economic activities are not disrupted. This includes expansion of new facilities as well as scheduled and preventive maintenance, and upgrades of existing water assets which require water management products and services. As such, the importance of water will sustain the demand for water management solutions.

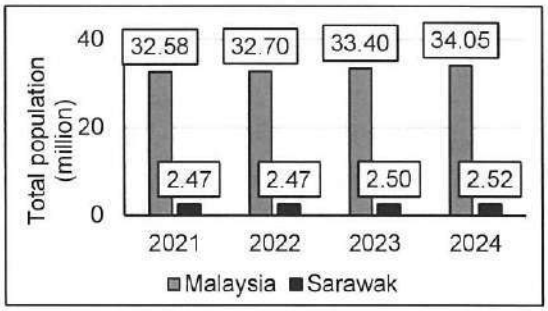
Water consumption, Peninsular Malaysia, F.T. Labuan and Sarawak, 2021 – 2023



Note: Complete data for Sabah is not publicly available.

Sources: DOSM and SPAN

Total population, Malaysia and Sarawak, 2021 – 2024



Note: Total population comprises citizens and non-citizens.

Source: DOSM

From 2021 to 2023, water consumption increased at CAGRs of 1.7% in Peninsular Malaysia and F.T. Labuan and 4.8% in Sarawak, supported by rising population. In 2024, water consumption in Peninsular Malaysia and F.T. Labuan increased YOY by 2.2% from 10,388 MLD to 10,614 MLD. Water consumption for Sarawak for 2024 is not publicly available.

Over the same period of 2021 to 2023, the total population in Malaysia and Sarawak increased from 32.58 million to 33.40 million and 2.47 million to 2.50 million, respectively. In 2024, the total population in Malaysia and Sarawak increased YOY by 2.0% to 34.05 million and 0.8% 2.52 million, respectively. The increasing demand for water gradually places more pressure on the existing water distribution system to distribute water to more consumers. In order to accommodate the growing demand for water in a sustainable and efficient manner, the water distribution system requires maintenance and upgrades of existing facilities over time, development of new water infrastructure, as well as integration with the latest technologies and solutions to adapt and keep up with the growing demand for clean water supply. This is expected to drive the demand for water management solutions.

Key risks and challenges

► **Reliance on the water sector in Malaysia**

The water sector in Malaysia is predominantly operated by government-linked utility agencies and the management structure involves a mix of state and federal oversight. Therefore, the growth of the water management solutions industry is dependent on the capital and operating expenditure of state and federal government as well as water agencies in Malaysia. The capital and operating expenditure of the water agencies in Sarawak determines the performance of the water sector, and this affects the demand for water management solutions, as these service solutions are essential in the water utility value chain. Any adverse

economic conditions that affect the capital and operating expenditure of the water agencies in Malaysia at state and federal level will lead to a slowdown in the performance of the water management industry.

► **Exposure to cybersecurity threats for water management solutions**

Water management solutions can include digital infrastructure which transmit data via various forms of communication networks including wireless and wired communication networks, and store and back up data on various types of storage platforms including cloud platforms and on-premise storage platforms. While digital water management systems can be protected with network and data security applications such as firewalls and data encryption, the digital nature of water management systems exposes them to risks of cyberattacks such as cyber intrusions and malware attacks. Once in the system, cyber-attackers could manipulate the software programming or the hardware of the physical infrastructure which are integrated with the software, which in turn, could cause disruptions to the water supply and the operations of the water distribution system.

In addition, a successful cyberattack could result in unauthorised access to and a breach of sensitive information, threatening data security and privacy. Water management solutions are designed to collect, store and process large amounts of data, including end-consumer's information, water usage patterns and other operational data. The occurrence of unauthorised access to these data may result in misuse of data and thus, breaching the privacy of end-consumers. As a result, users of water management solutions and end-consumers of water may lose confidence in the security of water management solutions in the event of any cyberattacks which lead to the abovementioned scenarios. In turn, the demand for water management solutions may be adversely impacted.

3 COMPETITIVE LANDSCAPE OF THE WATER MANAGEMENT INDUSTRY IN MALAYSIA

Overview

The water management industry is supported by a diverse range of industry players, including solution providers, mechanical and electrical (M&E) engineering contractors, brand principals and authorised distributors of hardware and software. These industry players often operate across multiple industries that require water related solutions, such as piping and water treatment systems in agriculture, food and beverage manufacturing, pharmaceuticals, and palm oil processing. Some industry players specialise in providing products, services and solutions for the water sector, addressing its specific needs and challenges such as NRW and water supply management.

In the water sector, industry players may take on multiple roles within the sector. For example, IAB Group offer a range of services including consultation, design, implementation and project management. Industry players such as IAB Group brings technical capabilities, experience, expertise and their network of suppliers to customers in the water sector, and serve as main contractors and project managers for water utility projects. However, these industry players may subcontract specific components or specialised areas of work to other industry players with the necessary expertise.

The water sector is regulated, requiring companies to hold relevant licenses from government bodies such as the Construction Industry Development Board (CIDB), and state water authorities. The complexity and scope of water utility projects can vary widely, requiring a range of expertise and resources. As a result, industry players may possess the necessary licenses, expertise or capacity to undertake certain aspects of a project, but not all. This creates a competitive and collaborative dynamic, where industry players compete in some areas but also complement each other through subcontracting and collaboration. This synergy allows them to deliver comprehensive water management solutions by combining resources and expertise.

The barriers to entry into the water management industry in Malaysia is moderate, as new entrants can start by securing small-value projects and offer limited solutions that demand less technical expertise. However, to remain competitive, industry players require extensive and specialised technical expertise in the water sector as well as strong relationships and networks with industry players and stakeholders. These factors are key in ensuring industry players can secure higher-value and more complex projects, strengthen competitive edge and track records, grow their businesses and remain sustainable in the long run.

8. IMR REPORT *(Cont'd)*

Key industry players

As IAB Group is principally involved in the supply of water technology solutions for water management across the water utility supply chain from water treatment to distribution, the basis of selection of key industry players are as follows:

- Companies principally involved in the supply of water technology solutions for water management across the water utility supply chain that are similar to IAB Group. These companies may play multiple roles within the water utility supply chain; and
- Companies which recorded more than RM20.0 million in revenue based on their respective latest available financial years.

Company name[1]	Examples of role(s) within the water utility supply chain	Latest available financial year	Total revenue (RM million)[2]	Segmental revenue (RM million)[3]	Gross profit ("GP") (RM million)	GP margin (%)	Profit after tax ("PAT")/ (Loss after tax) ("(LAT)") (RM million)	PAT/(LAT) margin (%)
IAB Group	- Water technology solutions provider - Authorised distributor of hardware	30 April 2025	49.6	15.7	29.7	59.8	19.0	38.2
Aveva Asia Pacific Sdn Bhd[4]	- Software product principal	31 December 2024	42.6	N/A	37.7	88.5	(0.4)	(0.9)
Ovarro Sdn Bhd	- Water technology solutions provider - Product principal of hardware and software	31 December 2024	38.3	N/A	5.8	15.1	1.1	2.9
Xylem Water Solutions Malaysia Sdn Bhd[5]	- Water technology solutions provider - Product principal of hardware and software	31 December 2023	33.1	N/A	15.2	45.9	2.2	6.6
Cosmos Technology International Berhad[6]	- Water technology solutions provider - Authorised distributor of hardware and software	30 April 2025	20.1	20.1	7.0	34.8	2.3	11.4
Premier Water Services Sdn Bhd	- Water technology solutions provider - Authorised distributor of hardware and software	31 March 2024	13.8	N/A	N/A	N/A	0.1	0.7

Notes:

- *Latest available information as at 8 September 2025.*
- *The identified key industry players include all industry players that were identified by SMITH ZANDER based on sources available, such as the internet, published documents and industry directories. However, there may be companies that have no online and/or published media presence, or are operating with minimal public advertisement, and hence SMITH ZANDER is unable to state conclusively that the list of key industry players is exhaustive.*
- *N/A – Not available.*

8. IMR REPORT *(Cont'd)*

(1) These companies may also be involved in the provision of other products and services besides water technology solutions.
(2) The total revenue may include revenue derived from other businesses that are not related to water technology solutions.
(3) Segmental revenue which comprises revenue derived from water technology solutions is disclosed where such information is publicly available.
(4) A subsidiary of Schneider Electric SE, a company incorporated in France and listed on the Euronext Exchange. Schneider Electric SE and its group of companies are principally involved in the provision of electrification, automation and digitisation solutions for industries, infrastructure, data centers and buildings.
(5) A subsidiary of Xylem Inc., a company incorporated in the United States of America and listed on the New York Stock Exchange. Xylem Inc. and its group of companies are principally involved in the design, manufacture and service of highly engineered products and solutions across a wide variety of critical applications primarily in the water sector.
(6) Listed on the ACE Market of Bursa Malaysia Securities Berhad.

Sources: IAB Group, various company websites, Companies Commission of Malaysia, SMITH ZANDER

IAB Group's market share for the water management industry

In 2024, IAB Group's market shares were approximately 2.1% and 0.1%, computed based on its revenue of RM21.7 million derived from the water technology solutions segment, against the expenditure for water sector in Malaysia of RM1.0 billion and estimated project value for water sector in Malaysia of RM17.7 billion, respectively. IAB Group's market shares in Sarawak cannot be computed as the government's expenditure and estimated project value for water sector in Sarawak are not publicly available.

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4 THE INTELLIGENT ASSET MANAGEMENT SOLUTIONS INDUSTRY IN MALAYSIA

Overview

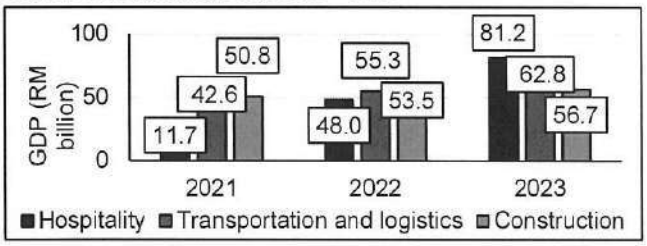
Intelligent asset management ("IAM") solutions refer to systems that are designed to monitor, manage, maintain and optimise the lifecycle of assets using various technologies including IoT, AI, data analytics and cloud computing, amongst others. These technologies enable numerous functions such as real-time tracking and monitoring of assets, predictive analysis and maintenance, automated reporting of performance and status as well as proactive alerts, which help users make data-driven informed decisions and respond quickly to potential issues in their operations. Ultimately, IAM solutions can enhance operational efficiency, performance and cost-effectiveness, benefiting businesses across various industries as well as government and municipal bodies in the monitoring and management of various public assets.

The application of IAM solutions can be found in a wide range of activities including public utilities and infrastructure management (e.g. water and wastewater management; electricity generation; and road management and maintenance); logistics management; construction site management; hotel operations, management and reservation; manufacturing; oil and gas; healthcare; and telecommunications, amongst others. With such wide applications, IAM solutions play a critical role in the development of smart city infrastructure, where they can be integrated with other technologies to create a comprehensive and interconnected urban environment. As IAB Group's IAM solutions serve the hospitality, transportation and logistics, and construction industries, this section will focus application on IAM solutions in these industries.

Rapid digitalisation initiatives to support growth across industries

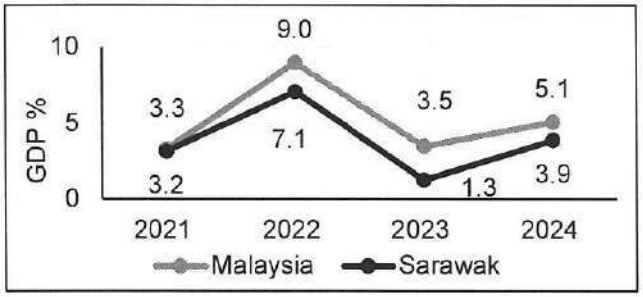
From 2021 to 2023, the hospitality industry, transportation and logistics industry and construction industry grew at CAGRs of 163.4%, 21.4% and 5.7%, respectively by gross domestic product ("GDP"). In 2024, the transportation and logistics industry grew by 10.7% YOY and the construction industry grew by 17.5% YOY. The 2024 GDP for the hospitality industry is not publicly available. These growth rates signal potential demand for IAM solutions in the long term as businesses seek digitalisation to improve operational efficiency to support further growth.

GDP for hospitality, transportation and logistics, and construction, Malaysia, 2021 – 2023



Source: DOSM

GDP growth, Malaysia and Sarawak, 2021 – 2024



Source: DOSM

In light of economic growth, the demand for various goods and services are on the rise, pressuring supply chains across various industries and sectors to meet the demands. Adopting digital technologies including IAM solutions is no longer optional, but essential to businesses in order to properly manage their assets to meet the demands efficiently and sustainably. From 2021 to 2023, the GDP for Sarawak and Malaysia demonstrated similar growth trends. Malaysia's GDP expanded by 5.1% in 2024 from 3.5% in 2023, and is expected to grow between 4.0% and 4.8% in 2025 according to Bank Negara Malaysia.

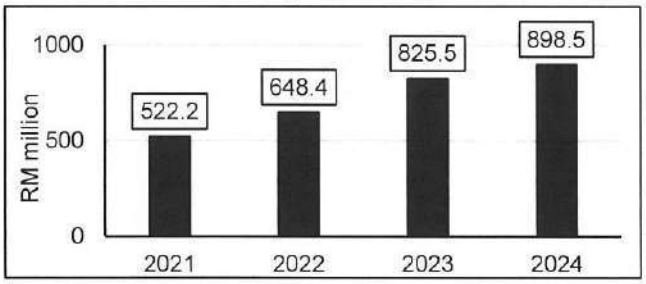
Under Sarawak's post Covid-19 Development Strategy 2030 ("PCDS 2030"), Sarawak aspires to achieve average annual 8% GDP growth and GDP of RM282 billion by 2030, and to be a developed state by 2030, driven by data and innovation. One of the 7 strategic thrusts to accelerate the economic development is to accelerate digital adoption and utilisation across sectors.

The integration of IAM solutions and other technologies such as IoT and AI in various aspects of social, economic and public activities give rise to the development of smart cities. A smart city refers to a city that

leverages on technologies to optimise the use of limited resources, alleviate various urban challenges and improve quality of life. The Government of Malaysia has rolled out the Malaysia Smart City Framework 2019 – 2025 which details the proposed initiatives and strategies for the implementation of a smart city in Malaysia, highlighting the importance of smart city development as the approach to urban planning. Numerous smart city initiatives have been implemented or are in progress in Malaysia, targeting specific urban systems as well as the implementation of city-wide projects in urban areas such as Klang Valley, Penang, Iskandar Malaysia, Kuching and Kota Kinabalu.

Examples of these smart city initiatives are the implementation of intelligent transportation system, 5G infrastructure development, integrated waste management, digital healthcare, hyper-scale data centre and electric bus. As urbanisation and population are expected to continue to grow moving forward, the implementation of smart city initiatives is expected to continue and become more comprehensive, which in turn, will continue to drive the demand for IAM solutions across a wide range of applications to support the operations of smart cities.

Smart cities market, Malaysia, 2021 – 2024



Note: The smart cities market comprises revenue generated from components (e.g. IoT hardware, software and solutions) and services (e.g. equipment/system integration and maintenance) that enable connectivity and intelligence for smart cities.

In addition to transportation and logistics, hospitality and construction, the smart cities market includes revenue generated from other applications within a smart city such as utility management, healthcare, environmental, building control systems, etc.

Source: Statista

The smart cities market revenue in Malaysia grew at a CAGR of 19.8% from RM522.2 million in 2021 to RM898.5 million in 2024, representing rising demand for IAM solutions in Malaysia.

Government initiatives to boost digitalisation across industries

The Government of Malaysia is committed to driving the adoption of digital technologies, including IAM solutions across various industries through the introduction of initiatives, examples of which are as follows:

- To realise the aspiration of PCDS 2030, the Sarawak Digital Economy Blueprint 2030 was developed. One of the aspirations of PCDS 2030 is for Sarawak's digital economy to contribute about 20% to its GDP, 96% high-speed connectivity, 80% digitalisation of micro, small and medium enterprises and 50% growth in ICT and digital investments in Sarawak by 2030.
- In 2021, the Ministry of Science, Technology and Innovation introduced the Malaysia National Artificial Intelligence Roadmap 2021 to 2025 which entails the strategies involved in the development of the nation's AI capabilities during the 5-year period. The strategies comprise establishing AI governance, enhancing AI research and development, improving digital infrastructure to enable AI, cultivating AI talents, acculturating AI and kick-starting a national AI innovation system. The Malaysia National AI Technology Action Plan 2026 to 2030 will follow up on the previous roadmap by driving further collaboration for the adoption of AI and is expected to release in 2025. The advancement of AI capabilities is expected to drive the adoption of digital technologies in tandem as digitalisation of systems is a pre-requisite of AI adoption.
- In 2023, the MyDIGITAL Catalytic Projects Programme Report was released by the Ministry of Economy to introduce programmes to encourage digital investments from the private sector, develop the national digital ecosystem and leverage on Malaysia's investments in critical digital infrastructure. The programmes include conducting workshops and surveys to identify challenges and potential solutions in the industry, as well as rolling out projects/identify use cases that involve the adoption of digital technologies. The 5 sectors that have been identified as the focus areas are manufacturing, agriculture, transport and logistics, healthcare services and utilities. Amongst the technologies that must be adopted under this programme include AI, IoT, blockchain, cloud computing and big data analytics as well as advanced materials and technologies.

- The 13th Malaysia Plan aims to increase adoption of AI across key sectors, including manufacturing, healthcare, agriculture, education, finance, security, housing, and public services. The Government of Malaysia plans to support this objective through developing AI literacy from the primary school level, as well as certification, upskilling, and reskilling initiatives. Additionally, priority will be given to key policies and strategies such as the National Science, Technology and Innovation Policy, the Fourth Industrial Revolution Policy, and the Malaysia Digital Economy Blueprint.

Competitive landscape of the IAM solutions industry

- **Overview**

  The IAM solutions industry is competitive and fragmented, comprising many industry players offering IAM solutions for various types of applications, including transportation and logistics, hospitality, construction, water and wastewater management, warehouse management and agricultural monitoring, amongst others. Industry players may focus on the provision of IAM solutions for a particular industry application, such as transportation and logistics, or also offer IAM solutions for other types of industry applications. Leveraging on their technology expertise in IAM solutions, industry players may have the capability to offer customised IAM solutions tailored to each customer's specific needs or applications, which enables these industry players to compete across different industry application offerings in the IAM solutions market, compete with a broader range of industry players beyond their initial niche, and expand their market reach in the IAM solutions market.

  Industry players compete in terms of functionality, compatibility and price of the IAM solutions, as well as industry expertise and after-sales support, amongst others. The barriers to entry for the IAM solutions industry is moderate, whereby industry players require technical knowledge of the industry applications for which their IAM solutions cater, in order to design, customise and scale IAM solutions that align with their customer's needs. In order to remain competitive, industry players must keep abreast of the latest industry developments and applications to expand their technical expertise in their focus industry applications, enhance their IAM solutions by leveraging newer and advanced technologies, as well as expand their IAM solutions to new industry applications which require constant proactive measures by industry players to identify emerging market opportunities to stay ahead of their competitors.

- **Key industry players**

  Due to the fragmented nature of the IAM solutions industry, and as IAB Group's IAM solutions revenue is mainly derived from IntelliTrack System for financial year end ("FYE") 2024 and IntelliConstruct System for FYE 2025, the basis of selection of key industry players are:

  - Companies that focus on the provision of IAM solutions for transport management (also known as fleet management) and/or construction management. Transport management systems can include management solutions for commercial trucks, buses, ferries and other marine vessels as well as public buses. The key industry players may also offer IAM solutions for other applications; and
  - Companies that recorded more than RM10.0 million in revenue based on their respective latest available financial years.

Company name[1]	Examples of IAM solutions	Latest available financial year	Total revenue (RM million)[2]	Segmental revenue (RM million)[3]	Gross profit (RM million)	GP margin (%)	Profit/(Loss) after tax (RM million)	PAT/(LAT) margin (%)
Radius Business Solutions (Malaysia) Sdn Bhd	- Transport management system - Fuel management system	31 March 2024	135.7	5.0	10.3	7.6	(0.5)	(0.4)

8. IMR REPORT *(Cont'd)*

Company name[1]	Examples of IAM solutions	Latest available financial year	Total revenue (RM million)[2]	Segmental revenue (RM million)[3]	Gross profit (RM million)	GP margin (%)	Profit/(Loss) after tax (RM million)	PAT/(LAT) margin (%)
IAB Group	- Transport management system (i.e. IntelliTrack System) - Road management and maintenance system (i.e. IntelliRoad System) - Construction site resources information management system (i.e. IntelliConstruct System) - Hotel operations, management and reservation system (i.e. IntelliHotel System)	30 April 2025	49.6	33.9	29.7	59.8	19.0	38.2
Go Hub Capital Berhad[4]	- Transport management system - Inventory and reservation management system	31 December 2024	39.4	34.9	22.2	56.3	5.6	14.2
Gussmann Technologies Sdn Bhd	- Transport management system - Haulage management system	31 December 2024	35.8	N/A	21.9	61.2	7.4	20.7
Hexagon Measurement Technologies Sdn Bhd[5]	- Construction management system - Agricultural monitoring system - Manufacturing management system - Fleet management system	31 December 2024	29.5	N/A	9.8	33.2	3.5	11.9
TVH Malaysia Sdn Bhd	- Transport management system	30 September 2024	17.1	N/A	6.0	35.1	1.3	7.6
Total Dynamic Holdings Berhad[6]	- Transport management system - Logistics and warehouse management system	31 December 2024	14.0	14.0	7.7	55.0	2.4	17.1
CSE Telematics Sdn Bhd	- Transport management system	31 December 2023	12.5	N/A	5.3	42.4	1.3	10.4
Comcentric Solutions Sdn Bhd	- Transport management system - Vehicle security, monitoring and online diagnostics system	30 September 2023	10.7	N/A	4.1	38.3	0.5	4.7
I-Tracking (M) Sdn Bhd	- Transport management system - Agricultural monitoring system - Construction monitoring system - Water quality monitoring system	31 December 2023	10.3	N/A	8.8	85.4	1.9	18.4

8. IMR REPORT *(Cont'd)*

Notes:

- *Latest available information as at 8 September 2025.*
- *The list of key industry players comprise all industry players that were identified by SMITH ZANDER based on sources available, such as the internet, published documents and industry directories. However, there may be companies that have no online and/or published media presence, or are operating with minimal public advertisement, and hence SMITH ZANDER is unable to state conclusively that the list of key industry players is exhaustive.*
- *N/A – Not available.*

(1) These companies may also be involved in the provision of other products and services besides IAM solutions.
(2) The total revenue may include revenue derived from other businesses that are not related to IAM solutions.
(3) Segmental revenue which comprises revenue derived from IAM solutions is disclosed where such information is publicly available.
(4) Listed on the ACE Market of Bursa Malaysia Securities Berhad.
(5) A subsidiary of Hexagon AB. Hexagon AB is a company incorporated and domiciled in Sweden, and is listed on Nasdaq Stockholm. Hexagon AB and its group of companies are principally involved in the provision of digital reality solutions combining sensor, software and autonomous technologies.
(6) Listed on the LEAP Market of Bursa Malaysia Securities Berhad.

Sources: IAB Group, various company websites, Companies Commission of Malaysia, SMITH ZANDER

In Malaysia, construction asset management systems are available in varying levels of complexities with various functions and modules, as well as can be integrated with intelligent technologies (e.g. IoT, AI and data analytics). The use of construction asset management systems with intelligent technologies such as IntelliConstruct System in Malaysia is still at its nascent stage. Most asset management systems for construction offered by industry players in Malaysia are conventional systems with limited intelligent technologies, focused on a specific module (e.g. either construction manpower or equipment management only), or are part of the broader enterprise resource management (ERP) systems with significantly different/complex applications compared to IntelliConstruct System. Hence, there are limited key industry players for construction asset management systems identified in the table above.

- **Market share**

In 2024, IAB Group's market share for the IAM solutions industry is 1.1%, computed based on its revenue derived from IAM solutions at RM10.2 million in the financial year ended 2024 against the smart cities market size in Malaysia at RM898.4 million in 2024.

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9. RISK FACTORS

NOTWITHSTANDING THE PROSPECTS OF OUR GROUP AS OUTLINED IN THIS PROSPECTUS, YOU SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS THAT MAY HAVE A SIGNIFICANT IMPACT ON OUR FUTURE PERFORMANCE, IN ADDITION TO ALL OTHER RELEVANT INFORMATION CONTAINED ELSEWHERE IN THIS PROSPECTUS, BEFORE MAKING AN APPLICATION FOR OUR IPO SHARES.

9.1 RISKS RELATING TO OUR BUSINESS AND OPERATIONS

9.1.1 We are dependent on our largest major customer, JBALB, and other water agencies in Sarawak

We are dependent on JBALB as they contributed approximately 76.4%, 54.8% and 46.8% to our total revenue during FYE 2022 to 2024 respectively, through direct contracts with JBALB. Further, we supplied to JBALB's projects through other contractors whereby we acted as subcontractor. Collectively, JBALB's projects contributed approximately 94.8%, 93.7% and 64.2% to our total revenue during FYE 2022 to 2024 respectively. Although JBALB was not our top 5 major customer in FYE 2025, JBALB remains an important customer to our Group as we have growing unbilled order book for contracts secured directly with JBALB and through other customer where we acted as subcontractor for JBALB's projects, which is expected to contribute significantly to our revenue in FYE 2026. From 1 May 2025 up to LPD, we have recognised RM21.8 million revenue for JBALB's projects. In addition, as at LPD, our unbilled order book amounted to RM18.9 million are relating to JBALB's projects.

As a supporting service provider to the water agencies in Sarawak, we are dependent on the capital and operating expenditure of the water agencies in Sarawak, namely JBALB, Sibu Water Board, Sarawak Water Sdn Bhd (formerly known as LAKU Management Sdn Bhd) and Kuching Water Board, all of which are our existing end customers. Collectively, JBALB and other water agencies' projects contributed to majority of our revenue in the water technology solutions segment, which accounted for 100.0%, 100.0%, 68.1% and 31.6% of our Group's revenue during FYE 2022 to 2025 respectively. Hence, in addition to JBALB, we are also dependent on other water agencies in Sarawak.

Our Group's sales to JBALB and other water agencies in Sarawak, direct and through other contractors, are transacted mainly on project basis. Therefore, if JBALB or the other water agencies in Sarawak cease to engage our products and/or services, we will experience a reduction in projects which could result in a loss of revenue.

Given our past and on-going contracts with JBALB and other water agencies in Sarawak, they may continue to contribute significantly to our Group's revenue in the future. As at LPD, we have 6 ongoing JBALB's projects with latest completion date being October 2030, and we do not have any ongoing projects with other water agencies in Sarawak.

The expenditure of the water agencies in Sarawak is also dependent on government spending and budgets. In the event of decreased government spending and budgets for the water sector in Sarawak, the operations of JBALB and other water agencies in Sarawak will be adversely affected which may result in the decline in the number of contracts to be awarded to us. Given the above, there is no assurance that our financial performance and business operations will not be adversely affected by our reliance on JBALB and other water agencies in Sarawak.

9. RISK FACTORS *(Cont'd)*

9.1.2 The continuity of our order book is not assured and any significant decline in our order book will adversely affect our long term sustainability and growth

We are awarded with contracts on project basis with duration ranging from 12 to 36 months or we transact on purchase order basis. Hence, there is no assurance of continuity from one project to the next project, and we do not have long term agreements with our customers. In the water management industry, it is common for projects to be awarded based on competitive bidding, and as such, we have to bid for each project that we wish to secure. There is a risk that we may not be able to secure every project that we tender for and as such, this may affect the continuity of our order book. Further, the project-based nature of our Group's provision of intelligent asset management solutions may lead to fluctuation in our order book and result in uncertainties over our overall financial performance. Any significant decline in our order book will adversely affect our long term sustainability and business growth as well as the financial performance of our Group.

As at LPD, our order book comprised unbilled contracts amounting to a total of RM35.3 million. This unbilled order book will be recognised progressively over the next 6 financial years based on the expected progress of each project. The details of our order book are provided in Section 12.12. However, there can be no assurance that our current order book can be sustained in the future and there can be no certainty that projects from our order book will not be delayed or terminated and/or we may face a situation of inability to secure new contracts which in turn may result in an adverse impact on our long term sustainability and business growth as well as the financial performance of our Group.

9.1.3 The project-based nature of our business and/or the timing of delivery may lead to fluctuations in our Group's revenue, profit and operating cash flow

Our revenue is derived from the provision of water technology solutions and provision of intelligent asset management solutions. The provision of the majority of our solutions and services are carried out on project basis. Our customers may issue purchase orders for purchase of devices and consumables in smaller quantities on ad hoc basis.

Our revenue from the provision of water management system solutions and technical support and maintenance services are recognised based on project delivery milestones over the tenure of the projects. For the supply of IoT devices and instruments, our revenue is recognised when the customer accepts the delivery of the goods for contracts that involve only the sourcing and supplying of devices and instruments or over time for projects that involve ongoing services such as the installation, integration and deployment of hardware and technology. For the construction of water treatment facilities, revenue is recognised based on the proportion of construction costs incurred for work performed to date against the estimated total construction costs (as input method). Please refer to Section 12.2.1(b) for further details of our revenue recognition.

The timing of project delivery will affect our billing schedule which will in turn affect our revenue recognition and may cause our profit and operating cash flow to fluctuate. Our projects generally range for a period of 12 to 36 months, depending on the complexity of the project. Any enhancements, modifications, customisations and/or upgrades are subject to our customers' operational needs, business decisions and the customer's budget.

If our Group is unable to secure new projects and customers in a timely manner or if the project delivery schedules for existing project are delayed, it will materially affect our Group's overall profitability, operating cashflow and financial performance. Since the commencement of our business and up to LPD, our Group has not experienced any shortage of projects that has materially affected the financial performance of our Group. However, the non-recurrent nature of these projects secured from our customers may cause our revenue, profit and operating cash flow to fluctuate.

9. RISK FACTORS *(Cont'd)*

9.1.4 Our intellectual property rights may be infringed or our source code is leaked or hacked. Further, we may inadvertently infringe on third party's intellectual property rights

We retain the ownership rights of our Intelli Water System, IntelliHotel System, IntelliTrack System, IntelliRoad System and IntelliConstruct System. There are possibilities that the intellectual property rights of these systems may be infringed by third party(s), or our source code is leaked or hacked.

Third parties may unlawfully access or replicate the source code through hacking, reverse engineering, or exploiting system vulnerabilities, leading to unauthorised use or distribution of our proprietary technology. Insider threats, such as employees intentionally or accidentally disclosing source code through unsecured devices or channels, present significant risks. For example, an employee might store unencrypted code on personal devices, share the code through unprotected emails or mobile messaging applications, or transfer it using external drives, increasing the likelihood of unauthorised access or interception by third parties. If the source code is compromised, we could experience operational disruptions, including system downtime, delays in project timelines and customer dissatisfaction. Unauthorised modifications or malicious injections into the source code could disrupt systems used by customers, requiring costly recovery efforts. Furthermore, the exposure of proprietary technology to competitors could adversely affect our competitive advantage and business growth.

Further, as our solutions involve system design works, there are also possibilities that we could inadvertently infringe intellectual property rights held by third party(s). This would result in the risk of the third party challenging our Group's intellectual property rights or taking legal action against us.

There is no assurance that any of the above incidents, if they do occur, will be resolved in our favour. In the event that we are unsuccessful in pursuing any action against third party infringers, or a third party has successfully established that we have infringed its intellectual property, we may suffer significant loss arising from financial penalties and/or litigation costs. We may also be exposed to other risks such as adverse reputation which may impact our business operations and financial performance. During FYE 2022 to 2025 and up to LPD, our Group has not encountered any incidences relating to the infringement of our intellectual property rights, or our Group infringing on the intellectual property rights held by third party(s).

9.1.5 We are exposed to credit risks and default payments by customers

We generally grant our customers credit periods between 30 and 90 days from the date of invoice. Our cash flow may be adversely affected by delays in collection or non-recoverability of trade receivables. Our trade receivable turnovers were 80, 125, 253 and 226 days for the FYE 2022 to 2025, respectively. Please refer to Section 12.8.1 for further details on our trade receivable turnover.

Our customers have varying degrees of credit risk profiles which exposes us to the risk of default in payment by them. In the event that payment is not received within the credit period or there is a default in payment by our customers, we may provide impairment loss on trade receivables or write off trade receivables as bad debts, which may adversely affect our financial performance. During FYE 2022 to 2025 and up to LPD, we did not record any significant net loss or reversal on impairment losses. Please refer to Section 12.2.3(e) for further details on our impairment losses.

9. RISK FACTORS *(Cont'd)*

As at 30 April 2025, trade receivables past due but not impaired amounted to RM7.2 million or 20.5% of our total receivables. As at LPD, RM3.7 million of the overdue receivables have not been collected. This amount is owing from a total of 8 customers. While the receivables from these customers have exceeded the normal credit period, our Group have agreed upon proposed payment schedules with 5 of the customers, and is closely monitoring and following up with the remaining 3 customers. As such, our Group is of the view that these receivables are collectible, and no impairment is required at this juncture.

Save for a bad debt amounting to RM0.05 million that was written off in FYE 2023 which resulted from the dissolution from a related party's business, there was no trade receivables that was written off as bad debts for FYE 2022 to 2025 and up to LPD. Nevertheless, there can be no assurance at any delay or failure in receiving payments from our customers in the future may not result in trade receivables being written off as bad debts, which could adversely impact our financial performance.

9.1.6 Our future growth depends on our ability to execute our business strategies

Our future plans and strategies are focused on growing our market share and market presence, as well as expanding our IT capabilities. Please refer to Section 7.15 for further details of our future plans and strategies.

As the prospects of these initiatives are uncertain, there can be no assurance that we will be able to successfully execute our plans, or that these business strategies will not be more difficult or costly than we had originally anticipated. In this respect, our strategic initiatives may expose us to a number of risks and challenges, among others:

- the implementation of our operational plans and business strategies may require higher capital expenditures and operational costs than initially planned or anticipated. We may not be able to secure sufficient funding and/or bank borrowings in addition to the proceeds from our Public Issue;

- expanded business activities may result in lower growth or profit than we anticipate or are not profitable at all. For example, we may incur higher overhead costs than initially planned for. Such increase in costs will lead to a decrease in our profit margin if our business is unable to generate additional sales following the implementation of these strategies. In such event, our financial performance and prospects may be adversely affected;

- to support our continued growth, we are required to manage relationships with our customers, suppliers and/or subcontractors. If we are unable to expand our solution offerings when required, or if our business processes are inadequate to support the future growth of these relationships, our reputation and subsequently our financial performance may be adversely impacted; and

- the implementation of our future plans may require devotion of substantial amount of time by our management and may divert our attention and resources from our existing operations.

While our management has the experience and expertise in running our business operations, we are not able to guarantee that we will be successful in executing our future plans and strategies. Further, we cannot assure that we will be able to anticipate and mitigate all the business and operational risks associated with our future plans and strategies. In the event of any delays or failures in implementing our future plans and strategies efficiently, our growth may be negatively impacted and this could lead to a material adverse effect on our prospects and financial performance.

9. RISK FACTORS *(Cont'd)*

As part of our business expansion, we also intend to pursue strategic investments, mergers and acquisitions opportunities using the gross proceed of RM9.0 million from our Public Issue. However, there is no assurance that we will be able to identify suitable investment or acquisition targets, negotiate favorable terms or successfully integrate acquired businesses into our operations. Further, we may not be able to successfully integrate the business and operations of the acquisition target with our existing business. The process of integration may lead to unanticipated issues that may require the attention of our management and financial resources that we would otherwise use to develop and expand our existing business. This may lead to an adverse impact on our business and financial performance.

Further, we intend to explore opportunities for commercial contracts with 51WORLD and Origin Tech Limited through the respective MOUs entered with each party. While the MOUs formalise the collaborations, there is no cost of investment required and there is no any specific targets set to achieve under these MOUs. The success of the collaboration is also dependent on the joint effort of both parties, and the effort from 51WORLD and Origin Tech Limited is beyond our control. Therefore, we are not able to guarantee that we can materialise the MOU collaborations into commercial contracts that can contribute to the growth of our financial performance.

9.1.7 We are exposed to defect liability and warranty period claims by our customers

The solutions provided by our Group must conform to our customers' specifications and perform according to our customers' requirements. The DLP will begin upon the issuance of the CPC by our customers and generally ranges from 12 to 24 months to our customers for water technology solutions. Please refer to Section 7.2.2.1 for details of defect liability provided to our customers. We also provide warranty period generally ranging from 6 to 12 months upon the deployment of our intelligent asset management solutions, where we provide technical support, maintenance and services as well as rectify and resolve technical issues faced by customers' intelligent asset management solutions at no additional cost to our customers. Please refer to Section 7.2.2.2 for details of warranty period provided to our customers.

While majority of the possible cost arising from rectifying defects during the DLP will be borne by our suppliers and/or subcontractors through back-to-back arrangements for products supplied by them or for their workmanship, we may provide replacement of certain consumables such as batteries, if required, at our cost. If we are required to rectify substantial number of defects not covered by our suppliers and/or subcontractors during the DLP and warranty period, which may result in substantial costs being borne by us, the margin from the particular project will be reduced. During FYE 2022 to 2025 and up to LPD, we did not incur any material cost resulting from DLP and warranty claims from our customers. In the event of loss of hardware due to theft, accident or vandalism during the DLP, the cost of replacement will be claimed from the insurance we purchase for the project for such coverage. Please refer to Section 9.1.13 on further details on the risk of inadequate insurance coverage.

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9. RISK FACTORS *(Cont'd)*

9.1.8 We are exposed to IT system breaches, hacking, failures or disruption

We depend on IT systems to run and manage our operations, and support our R&D works such as process, store, and protect information, including data belonging to us and our customers.

Prior to handover, as part of adaptation stage of our Intelli Water System as well as intelligent asset management solutions, we may collect and transfer our customers' data into the system. Storage of data electronically and data transmission over the internet may expose our database to external security threats such as malware attacks, hacking, espionage or cyber intrusions, as well as internal security breaches which include unauthorised access to restricted information by our employees. In the event where there are security breaches that lead to leakage of our customers' information to unauthorised parties, our reputation and relationship with our customers may be adversely affected. Further, it may also lead to loss of customers' confidence in our Group which will adversely affect our reputation. For our Intelli Water System, upon the delivery and handover of the system, all data belonging to our customers will be stored in the system and we do not have access to and do not retain any of our customers data in our internal IT systems. For our intelligent asset management solutions, as we may offer data storage and hosting services as part of our scope of work to our customers, our customers' data may be stored in our servers after the delivery and handover of the solutions. Although our customers' data stored in our servers is encrypted and can only be accessed by the appointed personnel approved by our customers, there is no guarantee that there will not be security breaches that may cause leakage of our customers' data to unauthorised parties.

Our IT systems can experience failures on their own and are vulnerable to interruptions or damage from factors like power outages, human error, viruses, security breaches (such as cyberattacks and data theft) and other force majeure events such as natural disasters. Furthermore, hacking and data theft methods are constantly evolving, and our antivirus software and security protocols may struggle to keep up with these changes in time. Although we continuously strive to maintain secure and reliable systems, our efforts may not always be sufficient. If our IT systems or backup systems are compromised, damaged, or fail, it could disrupt our operations or lead to unauthorised access to proprietary or confidential data (including customer information), potentially harming our reputation and resulting in significant costs and legal challenges. Breaches or failures of systems belonging to our partners and customers could also cause similar negative outcomes. Any of these incidents could have a substantial and adverse impact on our reputation, financial performance and operations.

For FYE 2022 to 2025 and up to LPD, we have not encountered any security breaches, hacking, failures or disruption that have caused material adverse impact to our reputation, financial performance and operations.

9. RISK FACTORS *(Cont'd)*

9.1.9 We may fail to keep up with technological evolution and advancement

Our Group's future growth and success would depend on continuing market acceptance of our software solutions and our ability to develop and enhance our software solutions to meet the needs of our customers.

Our ability to grow is also subject to the risk of future disruptive technologies that may unexpectedly displace the current technology. Such disruptive technologies could adversely affect the competitiveness of our Group if we are unable to respond to the new technologies and adapt our software solutions accordingly. Although we continuously update and develop our software solutions in line with current technologies and meet our customers' requirements as well as maintain good business relationships with them, we cannot guarantee that our current software solutions will continue to be relevant and can always be adapted with the latest technology advancements. For example, our software solutions may not be compatible with all evolving advanced technologies and may require significant investment for major upgrades or a complete overhaul of our hardware and software infrastructure. This may result in significant costs for both our Group and our customers, potentially making our software solutions less attractive or even obsolete and irrelevant if customers choose more modern alternatives in the future.

In addition, there can be no assurance that we would be able to design and develop new software solutions using prevailing advanced technologies in a timely and cost-effective manner for commercialisation. Such circumstances may in turn adversely affect our competitiveness and financial performance.

9.1.10 We may not be able to renew or obtain licences, approvals and registration required to carry on our water technology solutions in Sarawak

As our Group's water technology solutions business segment involves procurement of works from the Sarawak Government for construction of buildings and infrastructure, M&E as well as supply and services, we are required to obtain approval/registration with UPKJ. UPKJ is a unit within the Sarawak State Financial Secretary's Office, which is the State Financial Authority of Sarawak established in accordance with Sarawak State Constitution. Further details on the approval/registration and the relevant laws and regulations governing the procurement of works from the Sarawak Government are as set out in Section 6.10(b).

Exxor Technologies is also registered with CIDB as a Grade G7 contractor, the highest classification accorded by CIDB, where it is allowed to tender for construction contracts of unlimited value for building construction, M&E, civil and engineering construction works. Further, Exxor Technologies has also obtained the necessary trading licences for the provision of our water technology solutions and intelligent asset management solutions with further details as set out in Section 6.7.

In addition, in October 2020, Exxor Technologies had obtained additional UPKJ registration under the heading for supply and services of telecommunication and ICT (**"Heading X"**) which is also valid until 21 October 2026 as we intend to participate in the procurement of such works from the Sarawak Government. As disclosed in Section 6.7, Exxor Technologies will not be able to maintain the minimum 80% Sarawakian shareholdings requirement imposed by SMA upon the completion of the Acquisitions and Listing.

9. RISK FACTORS *(Cont'd)*

In view that our Group intends to undertake works under Heading X should the business opportunity arises, our Group had vide a letter dated 24 October 2024 informed the Sarawak State Financial Secretary's Office and SMA that the Listing and the Acquisition of Exxor Technologies which would result in change in the shareholders of Exxor Technologies. The Sarawak State Financial Secretary's Office and SMA had on 4 November 2024 and 5 November 2024 respectively informed that they have no objection to the Listing and the Acquisition of Exxor Technologies. The no objection from the Sarawak State Financial Secretary's Office and SMA indicates that the authorities will not revoke or cancel the existing UPKJ licence under Heading X issued to Exxor Technologies, which is valid until 2026. In this regard, our Group is able to participate in the procurement works under Heading X from the Sarawak Government until the expiry of the licence. Notwithstanding the above, should the approval for the renewal of the UPKJ registration under Heading X (which remains at the discretion of the relevant authorities) is not granted after its expiration in October 2026, our Group will not be able to participate in the procurement of the works specified under Heading X.

In the event of non-compliance, the relevant government authorities may take action by issuing warnings, imposing penalties, shortening the validity periods, and/or imposing additional conditions or restrictions to our licenses. Further, for any serious breaches or non-compliance our licences, approvals and registrations may be suspended, revoked or may not be renewed upon expiry. Any revocation or failure to obtain, maintain or renew any of these licences, approvals and registrations may adversely affect our ability to continue operations and hence affect our financial performance.

Further, new laws and regulations may also be introduced and enforced from time to time which may require additional licences, approvals and registrations to be obtained in addition to those we currently have, or additional requirements may be imposed on the operations of our business. If additional licences, approvals and registrations are required for the operations of any part of our business and we are not able to obtain such licences, approvals and registrations or even adjust our business model to comply with such new laws in a timely manner, we could be subject to operational disruption and/or penalties which may lead to material adverse impact to our business and financial performance. During FYE 2022 to 2025 and up to LPD, we have not encountered any circumstances of non-renewal or revocation of our licences, approvals and registrations.

9.1.11 We are dependent on our principals, suppliers and subcontractors for the supply of IoT devices and instruments, and support services to support the deployment to our customers' projects

As part of our water technology solutions, we source and supply IoT devices, instruments, general fittings and consumables that meets our customers' requirements to solve their water management issues. Save for general fittings and consumables which are readily available, we are dependent on the continuous supply of IoT devices, instruments which we source from principals and suppliers based in Malaysia.

9. RISK FACTORS *(Cont'd)*

We source and establish agency principal relationships with our principals, namely Mueller Water Products, Inc. and Kamstrup A/S, whereby we serve as the authorised distributor for our brand principals. If our existing principals were to terminate the business relationship with our Group, we may not be able to secure similar partnerships which can provide our Group with similar IoT devices and instruments in a timely and/or cost-effective manner. While we may be able to source similar IoT devices and instruments of other brands from their respective authorised distributors, we cannot guarantee that the pricing will be favourable to us. This may in turn adversely impact our ability to deliver our projects on time, our project cost and thus financial performance. For FYE 2022 to 2025 and up to LPD, we have not encountered any major incidences where our principals failed to supply the IoT devices and instruments for our Group which had materially affected our business operations and financial performance. Nevertheless, there is no assurance that our existing principals will continue to engage us in the future.

For third party branded IoT devices or instruments which we are not the appointed authorised distributor, we will source the supplies from the respective authorised distributors. Our purchases from these suppliers are based on purchase orders on an as-needed basis and we negotiate commercial terms per purchase order with them. The absence of long-term agreement with these suppliers poses a risk to us as we may be subject to unfavorable changes in the commercial terms as they are not obliged to supply their products to us. In such events, we are required to find alternative suppliers for products of similar specifications which can be time consuming. Any failure to identify suitable replacement at commercially acceptable terms or at all in a timely manner may lead to increased supply costs or interruptions in our project fulfilment which could lead to decreased customer confidence, loss of sales and adversely impact our Group's reputation, operations and financial performance. For FYE 2022 to 2025 and up to LPD, we have not encountered any major incidences where our suppliers failed to supply the IoT devices and instruments for our Group which had materially affected our business operations and financial performance.

Further, we also engage subcontractors to perform services required for the project such as fieldwork (i.e. installation, integration, calibration, testing and commission), maintenance and technical support works as well as construction services, with the objective to reduce the need for our Group to employ and maintain a large workforce, which allows us to better control such operating costs according to the scale and capabilities required for our projects. Notwithstanding that, our Group still undertakes the overall project planning, coordination and management of all our subcontracted works and we are accountable to our customers for the execution of the contract and the overall management of the project. For FYE 2022 to 2025, the subcontractor costs and cost of devices, instruments and consumables accounted for 94.0%, 96.5%, 94.7% and 91.8% to our Group's total cost of sales respectively.

Notwithstanding our formal contractual relationships with our subcontractors, any failure of a subcontractor to fulfil its contractual obligations may lead to damages and penalties against our Group in favour of the customer who awarded the project to us. Our subcontractors may also experience financial difficulties, resource constraints or other difficulties which may affect their ability to carry out the fieldwork, maintenance and technical support works as well as construction services. As a result, our projects may be delayed and experience cost overrun or poor quality work attributed to our subcontractors due to instances such as insufficient resources during the project period. For FYE 2022 to 2025 and up to LPD, we have not encountered any major incidences where our subcontractors failed to fulfil their contractual obligations which had materially affected our business operations and financial performance.

9. RISK FACTORS *(Cont'd)*

9.1.12 We are dependent on our Executive Directors and key senior management team for the continued success and growth of our business

Our Group's continued and future success largely depends on the collective and continuing contribution of our management team, comprising our Executive Directors and key senior management, all of whom have substantial experience in the water management industry as well as within their respective fields of expertise.

Our Managing Director, Ts. Wee Khiam Hui, and our Executive Director, Bong Joon Fook, has 20 years and 11 years of experience respectively in the water sector. They are supported by our key senior management, with years of working experience ranging from 9 to 24 years. Please refer to Section 5 for further details on the profiles of our Executive Directors and key senior management.

We recognise that our Group's ability to maintain and sustain our level of excellence in our products and solutions as well as our longstanding relationships with our customers and partners depend significantly on the capabilities and efforts of our Executive Directors and key senior management. As such, the loss of any of these personnel simultaneously or within a short period of time and without suitable and timely replacements would have an unfavourable and material impact on our Group's business operations and financial performance, and affecting the future growth our business. For FYE 2022 to 2025 and up to LPD, we have not encountered any unexpected incidence of loss of personnel from our management team simultaneously or within a short period of time.

9.1.13 We rely on the availability of skilled employees from our IT team and project team for the provision of our solutions

The provision of our solutions is dependent on the availability of skilled employees with the required technical expertise in software development, operations and engineering. As at LPD, we have a total of 7 employees in our IT team under our Chief Technology Officer, Ts. Dr. Peggy Loh Yee Wey, and 10 employees in our project team under our Chief Project Officer, Aelred Bong Nan Wyan.

Our ability to retain and to attract competent and skilled employees is crucial for our continued success, future business growth and expansion. Any loss of our skilled employees or our inability to find suitable replacements in a timely and cost-efficient (i.e. at competitive salary rates which are within our hiring budgets) manner may cause disruptions to our project deliverables. Any delays to our delivery schedules may lead to dissatisfaction from our customers and may impact our ability to secure future projects from these customers. Additionally, we may lose our competitive edge if we are unable to recruit competent and skilled employees at a rate consistent with our business growth.

During FYE 2022 to 2025 and up to LPD, our Group has not encountered instances of resource constraints of skilled employees which had materially affected our ability to deliver our solutions in accordance with our customers' delivery schedules. Nevertheless, there is no assurance that our Group will be able to hire sufficient skilled employees in a timely and cost-efficient manner should there be a sudden and unanticipated loss in our skilled employees and/or surges in demand for our solutions.

9. RISK FACTORS *(Cont'd)*

9.1.14 We are subject to the risk of inadequate insurance coverage

We maintain insurance coverage for our material assets and business operations at levels that are customary in our industry to protect against various losses and liabilities in our business operations. Further, we maintain insurance coverages as part of our contract requirements such as public liability policy, work insurance policy and workmen compensation policy. As at LPD and in addition to the insurance policies required as part of our contracts requirements, our Group has also taken up the insurance policies which include, but are not limited to fire insurance, public liability insurance, burglary insurance and group personal accident policy.

As these insurance coverages are subject to exclusions and limitations of liability both in amount and with respect to the insured events, our insurance may not be adequate to cover all losses or liabilities that might be incurred in our operations because of any unforeseen circumstances. If we were to incur a significant liability for which we were not fully insured, it could have a material adverse effect on our business operations and financial performance. Moreover, we will be subject to the risk that, in the future, we may not be able to maintain or obtain insurance of the type and amount desired or required for the undertaking of our projects at competitive rates. During FYE 2022 to 2025 and up to LPD, we have not experienced any incidences of material losses, damages or liabilities incurred by us due to insufficient insurance coverage.

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9. RISK FACTORS *(Cont'd)*

9.2 RISKS RELATING TO OUR INDUSTRY

9.2.1 We are subject to risk relating to the economic, political and/or legal environment in Malaysia, particularly in Sarawak, and Vietnam

Any development in the political, economic and regulatory environment that are beyond our control in Malaysia, particularly in Sarawak and Vietnam, could materially or adversely affect our business operations and financial performance. Such developments include, but are not limited to, changes in political leadership, changes in general economic and business conditions, fluctuations in interest rates, acts of terrorism, riots, expropriation, nationalisation, fiscal and monetary policies of the Government such as inflation, deflation, methods of taxation, tax policies (including sales and service tax, excise duties and tariffs) and exchange control measures, unemployment trends, deterioration of international bilateral relationships, outbreak of diseases and other matters that influence government budgets. Our Group could also be affected by new laws, regulations, and guidelines that are introduced to regulate the water sector.

Increasing volatility in financial markets may also cause these factors to change with a greater degree of frequency and magnitude. Therefore, any unfavourable developments in the socio-political environment in Malaysia, particularly in Sarawak and Vietnam may materially and adversely affect our business operations, financial performance and prospects.

9.2.2 Our business is dependent on the water sector in Malaysia

Our business and growth prospects are dependent on government budget and initiatives, as well as the capital and operating expenditure of the water utility agencies in Malaysia. During FYE 2022 to 2025, revenue derived from the sales of our solutions to the water sector contributed 100.0%, 100.0%, 68.1% and 31.6% of our Group's revenue respectively.

Government budget and initiatives, as well as the capital and operating expenditure of the water agencies in Malaysia determines the performance of the water sector in Malaysia, and this affects the demand for our solutions, as the solutions we provide are essential in the water utility value chain. Any adverse economic conditions that affect the capital and operating expenditure of the water agencies in Sarawak will lead to a decline in the demand for our solutions, which will have a material adverse impact on our business and financial performance.

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9. RISK FACTORS *(Cont'd)*

9.3 RISKS RELATING TO THE INVESTMENT IN OUR SHARES

9.3.1 There is no prior market for our Shares

There was no public trading market for our Shares prior to our IPO. Hence, there is no assurance that upon our Listing, an active market for our Shares will develop, or, if developed, that such a market can be sustained. Our IPO Price was determined after taking into consideration various factors including but not limited to our business strategies, future plans and our financial and operating history.

There can be no assurance that our IPO price will correspond to the price at which our Shares will be traded on the ACE Market, upon or subsequent to our Listing, and the market price of our Shares will not decline below the IPO Price.

9.3.2 There may be a potential delay to or cancellation of our Listing

Our Listing may be aborted or delayed due to possible occurrences of certain events, which include, among others, the following:

(a) the selected investors fail to subscribe for the portions of our IPO Shares;

(b) our Underwriter exercises its rights under the Underwriting Agreement to discharge itself from its obligations therein;

(c) we are unable to meet the minimum public shareholding spread requirement under the Listing Requirements, whereby at least 25.0% of our total number of Shares for which our Listing is sought must be held by a minimum number of 200 public shareholders each holding not less than 100 Shares at the point of our Listing; and/or

(d) the revocation of the approvals from the relevant authorities for our Listing for whatever reason.

If any of these events occur, investors will not receive any Shares and we will return in full without interest, all monies paid in respect of the Application within 14 days, failing which the provisions of Section 243(2) of the CMSA shall apply. Our Company shall be liable to return such monies with interest at the rate of 10.0% per annum or at such other rate as may be specified by the SC upon expiration of that period until the full refund is made.

If our Listing is aborted and/or terminated, and our Shares have been allotted to the investors, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under Sections 116 or 117 of the Act and its related rules. Such cancellation requires the approval of shareholders by special resolution in a general meeting, with sanction of the High Court of Malaya or with notice to be sent to the Director General of the Inland Revenue Board and ROC within 7 days of the date of the special resolution, and us meeting the solvency requirements under Section 117(3) of the Act. There can be no assurance that such monies can be recovered within a short period of time in such circumstances.

Nonetheless, our Board will endeavor to comply with the various regulatory requirements, including, inter alia, public shareholding spread requirements for our Listing. However, there can be no assurance that the abovementioned factors/events will not cause a delay in or non-implementation of our Listing.

9. RISK FACTORS *(Cont'd)*

9.3.3 The trading and performance of our Shares following our Listing is subject to fluctuations

Upon completion of our Listing, the trading price of our Shares could be subject to significant fluctuation due to factors specific to our Group or industry in which our Group is operating. Some factors may not be within our control and are unrelated or disproportionate to our financial results. These factors may include, among others, variations in the results of our operations, changes in analyst's recommendations or projections, changes in general market conditions and broad market fluctuations. In addition, our Promoters could dispose some or all of their Shares after the moratorium period pursuant to their own investment objectives. If our Promoters sell, or are perceived as intending to sell a substantial amount of their Shares, the market price for our Shares could be adversely affected.

The performance of the stock market is also affected by the external factors such as the performance of the regional and world bourses, inflow or outflow of foreign funds, economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes witnessed on the stock market, thus adding risks to the market price of our Shares.

9.4 OTHER RISKS

9.4.1 Our Promoters will be able to exercise significant control over our Company

Upon Listing, our Promoters will collectively hold 73.0% of our enlarged number of issued Shares. As a result, they will be able to effectively control the business direction and management of our Group and as such there can be no assurance that the interests of our Promoters will be aligned with those of our other shareholders. The interests of our Promoters may differ from the interests of our other shareholders and they may be able to exercise significant influence over the vote of our Shares. Our Promoters could also have significant influence in determining the outcome of any corporate transactions or other matters submitted to our shareholders for approval. This includes the election of Directors, approval of business ventures and having substantial voting control over our Group. As such, our Promoters will have a deciding vote on the outcome of any ordinary resolution (which requires a simple majority of 50% plus 1 voting share) to be tabled at general meeting, unless they are required to abstain from voting by law, relevant guidelines or regulations.

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